

Technical Articles – MGT301

Theme No.1: Understanding Marketing

It is expected that you have some knowhow about marketing. In one way or the other you are target by some marketing campaign. Let's understand what is marketing?

Marketing has emerged from the word market. So it must have the meaning of the word market. Market is used both as noun and verb. If we take market as noun then it is the name of a place, process or thing. It is any place where buying and selling takes place.

We call certain places as market e.g. if you want to buy grocery you must be aware of some market where grocery is available. In economics, market is a mechanism where buying and selling is regulated. Other than this, market is the set of potential and actual buyers. So here market as a noun means set of actual and potential buyers. Therefore, in this course whenever the word market will be used it means set of actual and potential buyers.

Market as a verb means to take something to its potential customer/ buyers. So, in nutshell, generally marketing is a process of taking something to its market/ customer. Let's have a look at the definition of marketing:

“Marketing is a process by which companies create value for customers and build strong customer relationships in order to capture value in return”.

Marketing is a set of activities which is a value creating process to offer it to those who need it and it is offered in such a way to build relationship with those to whom it is offered. And it is created to get something in return as well. It is all about exchange of values. Certain terms in marketing are very important such as need, want and demand.

We know marketers focus on needs of customers. **Need** is a state of felt deprivation. Whenever you feel there is some gap or you are deprived of something, you try to fulfill it. Like hunger, thirst. What is thirst? It is the feeling of lack of fluid in your body. Whenever there is lack of fluid

in your body, you feel that you need to refill it. Needs can be physical or social or personal etc. Needs cannot be created but can be fulfilled by marketers.

Want is the form that a human need takes as shaped by culture and individual personality e.g. water and food. Whenever you are hungry you search for something to fulfill that need. The thing that you are searching is your want. All human in this world feel hunger but there wants are different as regions and cultures change. Needs are universal but wants are regional or local. When hungry some may take burger, some pizza, some rice etc.

Demands are human wants that are backed by buying power. Anything that you want to have to fulfill your need and you have purchasing power to buy that thing is your demand. E.g if you are hungry(need) you have many options like burger, pizza, rice etc. suppose you want to buy pizza(want) and you do not have money to buy it, then it is not your demand. Needs and wants are important but demand is very crucial for marketers.

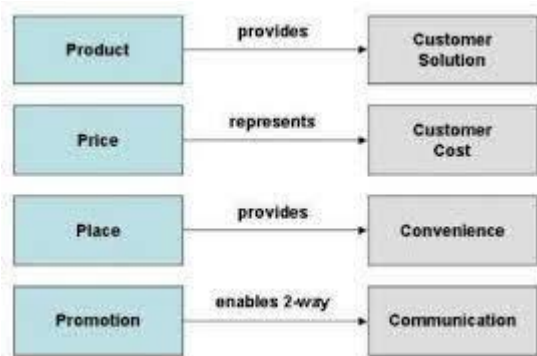
Customers\ consumers are important for marketers. Those who buy something\those who consume something are customers \consumers respectively but those who buy something and those who consume something can be same or different.

Value is something of importance or something having the ability to fulfill the gap or solve a problem. Marketers focus on values as marketing is exchange of values between buyers and seller.

Exchange is the act of obtaining a desired object. e.g. you want to have eggs in breakfast you will go to the nearby shop and ask for eggs by giving the price to the shopkeeper . In this case exchange has taken place. **Transaction** is an activity in which goods services or money is passed from account to another. Exchange when take place is called transaction. . Whenever you buy or sell something a transaction has occurred.

Marketing offering is any combination of products, services or information offered to the market to satisfy the need or want, for example banks offer services; news channels offer information and confectioners offer sweets.

Marketing mix is a combination of tools/ 4P's (product price place and promotion) used by marketers to deliver value to customers. There are four Ps from marketer's point which must match the four Cs from customers point of view. Product is all goods and services that you design and it must match with the customer solution. Price is the value on which any company offers its product. Price must be such that it matches the customer cost. Then next P is promotion. It is making your market or customer aware of the product / offering. The corresponding C is communication. Promotion must be such that message is communicated to the customer properly. Place is the distribution. Place your product such that it reaches the customer conveniently. So convenience is the corresponding C for place.



Source: <https://megansbusinessblog.wordpress.com/2014/07/29/marketing-mix-the-four-ps-and-the-four-cs-category-5/>

It has been discussed that demand is the essence of marketing. Marketing is used not only by businesses but also political parties, and charity organizations as well. Actual task of marketing is to manage demand. As demand of any product that is offered for selling is never ideal so marketers face different demand situations and resultantly make different strategies for different demand situations. Different demand situations are:

Negative demand is a demand situation in which your product is facing biased or negative views of potential customers. For example the society in which you are dealing with frozen food items, consider that only fresh food is good. Frozen food is unhealthy; there you are facing negative

demand. Here you will use conversion strategy to change the views of the market about frozen food.

No demand is something that every business faces in the start up phase. People are not aware of your product then you will use creative / stimulating marketing which means you create the demand.

Latent demand is dealing in a product which people may demand but right now the demand is hidden. For example insurance policy which initially was introduced and had latent demand and people did not take interest in it. Later marketers highlighted the benefits and made people aware and they started buying.

Declining demand is when due to any reason the demand of the product starts declining. In such case re- marketing is used; you may redevelop the product by adding some new features in it.

Full/ regular demand is when demand of the product is equal to the production capacity and this is also called adequate or sufficient demand. It is ideal situation so marketers maintain marketing and try to prolong the full demand situation to get maximum benefits.

Irregular demand is when demand of company product changes at different times. It increases in some season and decrease at some other time. It is called irregular demand. E.g air conditioners are sold at high prices in summers while in winters air conditioners are sold at discounted prices, by doing so companies shift the demand of products. So companies use demand shifting technique and use synchro-marketing strategy.

When demand of company product exceeds the production capacity means company is facing **overwhelming demand** and is unable to manage demand it is called overfull demand situation and company uses de marketing strategy. E.g. electricity companies use de-marketing to reduce or lower the demand since demand is high but availability is less so they charge high prices to manage the demand.

Demand of any unhealthy product is called **unwholesome demand** like narcotics and drugs etc. for such products counter marketing is used to discourage the use of such products e.g. campaigns for cigarette use.

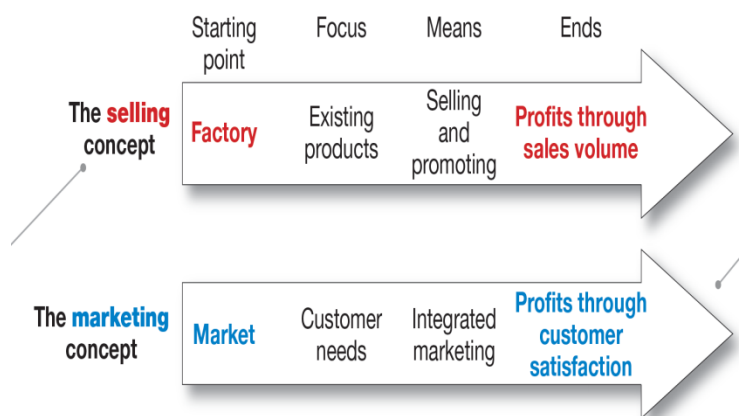
There are different underlying **marketing philosophies** that guide the actions of marketers. The marketing practices are guided by different marketing orientations / philosophies or beliefs. Let's discuss these one by one.

Production concept is the idea that consumer will favor products that are available or highly affordable. Here marketers focus on quantity as they believe that customers are quantity oriented. So organization focuses on production to achieve economies of scale to make the product available to customer at affordable prices.

Product concept is the idea that consumers will favor product that offers the most quality, performance and features. Organizations should therefore devote the energy to making continuous product improvements. Product concept misleads where you focus on product features and improvement and ignore the customer needs. This may also lead to Marketing Myopia. Let's discuss the mouse trap phenomena. In US, there was a time people wanted to get rid of mouse. So companies started making mouse traps considering that people want it. They did not consider that people actually wanted to get rid of mouse rather than a mouse trap. They must have thought of other ways to catch mouse like sprays or sticking gums etc. to get rid of the mouse. So this overemphasis on product led to marketing myopia and many mouse trap manufacturing companies failed to sell enough products.

Selling concept is the idea that consumers will not buy enough of the firm's products unless it undertakes a large scale selling and promotions efforts. This approach is asking for heavy promotional activities. Telling and selling philosophy works in such a situation. You may sell your product once or twice through heavy advertisement but if your product is not good, customers will not buy it again.

Marketing concept is the idea that achieving the organizational goals depends on knowing the needs and wants of the target markets and delivering the desired satisfaction better than competitors do.... Here the focus is on customer/ market. Product must focus customer needs.

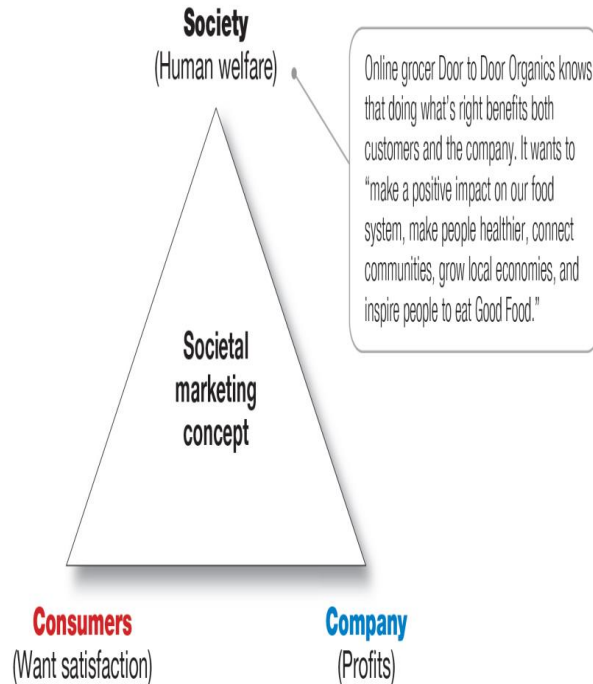


Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

Selling concept takes the inside-out perspective. Its starting point is the factory, focuses on existing products, and uses heavy selling and promotional efforts to end up obtaining profitable sales

In contrast, the Marketing concept takes the outside-in perspective. It starts with the well-defined market, focusing customer need, using integrated marketing activities, affecting customer's satisfaction thus generating profits and establishing long lasting customer relation. Here the problem is that the focus is on customer and company profit but this is sometimes may be done at the cost of society. It may be that your production unit discharges such waste that is damaging the land. This issue was catered in the societal marketing concept.

Societal marketing concept is the idea that a company should make good marketing decisions by considering consumers' wants, the company's requirements, consumers' long term interests and society's long run interests.



Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

Here the efforts are made to fulfill customer needs profitably by keeping the society's wellbeing in mind.

Now after reviewing few marketing definitions let's advance our knowledge of marketing. Marketing management is the art and science of choosing target markets and building profitable relationships with them. Marketing management is the skill and knowledge at the same time. What customers will we serve (Target market)? How can we best serve these customers (value proposition). **Customer relationship management** is the overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.

Peter Drucker has defined Marketing in the following way:

“The aim of marketing is to make selling superfluous, the aim of marketing is to understand customer so well that product fits and sells itself”.

Marketer must understand your customer so well that you do not have to sell your product. It fits to customers' needs so perfectly that it sells itself.

Let's discuss what the building blocks are for managing customers. Managing customer relationship is important. The difference between total customer perceived benefits and customer cost is called **Customer Perceived Value (CPV)**. When you buy something you bear some kind of cost in the form of money, efforts or time or the combination of all and in return get some benefit. If the benefits and cost are justified or benefits exceed cost then you build a perception that this product is of value so marketers try that CPV is good.

The extent to which perceived performance matches a buyer's expectations is called **Customer satisfaction**. When you buy a product you have certain expectations from it that it will perform or function in a certain way. . When your expectations are fulfilled by the performance of product means you are satisfied. If performance exceeds your expectations then you are delighted. Satisfied customers bring in more customers.

Partner relationship management involves working closely with partners in other company departments and outside the company to jointly bring greater value to customers.

After discussing Managing customer relationship, Let's discuss an associated concept **managing customer value**.

In marketing we not only build relationships with customer but also have to capture value from the customer. Let's discuss the building blocks to capture customer value.

Customer lifetime value is the value of the entire stream of purchases that the customer would make over the lifetime of patronage. Take example of female who uses lipstick regularly. Suppose if she uses a particular lipstick of a company and on average she will use it for 10 years. Then suppose if one lipstick is of Rs. 500 and it lasts for one month so in one year she will use 12 listicks. So she will spend $500 * 12 = 6000$ in one year and in 10 years she will spend $6000 * 10 = 60000$. If the company has won the customer, company is not selling one lipstick to the customer but its winning the sale of 60000 and if the customer is lost then it is losing this amount.

Share of customer is the portion of customer's purchasing that the company gets in its product categories. Example: the customer is satisfied with a particular brand and buys bread of this brand,

milk, bun and biscuits of the same brand. Actually what the customer spends on all the products of a particular brand is called share of customer.

Customer equity is the total combined customer lifetime values of all the company's customers.

New trends in marketing keep on emerging with the passing time. Few of the prominent trends are:

Customer engagement marketing fosters direct and continuous customer involvement in shaping the brand conversations, experiences and community. Companies are taking such initiatives where customers are involved in brand building due to the changing technologies.

Customer-generated marketing is the brand exchanges created by customers themselves. Customers are playing an increasing role in shaping brand experiences. Initially only companies were marketing the products now customers are also marketing. Everyone can now access everyone else so they are sharing their experience good or bad with others. We can say that Customer-generated marketing is leading now.

Digital and social media marketing involves using the digital marketing tools such as websites, social media, mobile ads and apps, online videos, emails, and blogs that engage consumers anywhere, at any time via their digital devices. Now businesses are allocating increasing budget for digital and social media marketing although conventional marketing is being used but its importance has decreased. Digital age, free flow of information, rapid globalization, rising awareness and fast changing technologies have really changed the marketing landscape.

Role of internet is phenomenal as it has connected many people. Anyone can access any other person sitting anywhere in the world. Everything is just a click away. It has facilitated everyone to reach media. Now customers can act and react about the company. It's really easy as source of information have increased and flow of information is easy. This digital age has facilitated the process of globalization which is enhanced connectivity between people living in different parts of world. You can buy and sell from anywhere in the world. Due to increased education, new generation has realized about the damage being caused to the world around by the previous

generations. They are worried and are now more socially and ethically responsible towards the environment. Another trend that has changed the marketing landscape is the growth of nonprofits. With this growth marketing in non-business ventures is also increasing like hospital, political parties and charity institutes have started using marketing to get resource.

Conclusively let's look at how marketing works?

Consider that there is an organization and there is the market for it. Market is full of customers. Organization has many departments like HR, finance, accounting, R & D, production and operations and marketing is in the center of these all departments as it is linked to all. Now the organization tries to understand the market and for this marketing research is used. Using marketing research the organization collects information from market. Marketing department processes the information and works in coordination with other departments to design a product to be offered to market. Working on the four Ps and matching with four Cs of customer, marketing offering is made. It is then sent to the customer. If your product is rightly suitable for the customers' demand and requirement, then customer will appreciate otherwise it will be rejected. Whatever the case may be the feedback about the offering, be it good or bad, will be received by the organization's marketing department. By learning the response from the market, organization decides to continue with the same product or modify it to suit the customer requirement.

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Theme No. 2: Marketing Environment

In this theme, we will discuss the most important and essential topic i.e. Marketing environment. First of all, we have to understand what is "environment"? An environment is the surroundings of any living thing. Whatever around you is considered to be your environment. The environment is somewhat you are very used to with. It is actually everything around us. It comprises human actors, system's, physical, chemical, and other natural factors, etc. We can't change our environment abruptly. The environment is an extremely complex set of factors that define your behavior in every way and for every living thing. Our environment will influence us anyway and somehow we may also influence the environment. For example, a flower may grow when weather conditions are appropriate, or die if it is not. It couldn't survive with extreme variations in their environment.

Now, what is the marketing environment? In marketing our main objective is to deliver the value to the customer and in return earns value. Marketing is not alone; as per Phillip Kotler it has its own environment and in this environment, it has its own actors and forces that affect a firm's ability to deliver value to the customer and create profitable customer relationships ". Here we can take an example of one of the actors of the marketing environment and that is supplier. For instance, if you are making a surgical instrument and for that you use stainless steel metal, now the quality of the surgical instrument depends on the metal which a supplier provides you, what if the quality of that metal is not up to the mark it will certainly affect the ability to serve your customers and ultimately the relationship between you and the customer will suffer. In simple words, a firm is surrounded by internal and external forces which have a great effect on a firm's ability to sustain long-lasting relations with their potential customers. There are two types of the marketing environments, one is microenvironment and the other one is macro environment. Let's discuss them one by one.

What is Micro Environment?

The microenvironment is defined as the secure or safe environment, under which the firm works. The microenvironment consists of the Organization itself, Suppliers, Intermediaries, Competitors, Customers and Public. These actors are very close to the organization as they all work together and this would build your value network as well as a value delivery system. These actors are makers and breakers of the organization, because if these actors will not work properly then your ultimate goal to serve the customers will not be fulfilled. Firstly, we'll see the actors of microenvironment.

1.The Company:

In designing organization's strategies and objectives, marketing executives will make close coordination with other departments, within the organization because; if they do not develop coordination within the organization they can't achieve their goals in an appropriate way.

2.Suppliers:

They are the one who provide the resources for goods and services. For example, raw material, equipment etc. Business accomplishment depends on the suppliers as the supplier's good is the essential component of the end product of the buyer. It is famous sayings that treat your supplier as your partners to provide customer value.

3. Marketing Intermediaries:

The role of intermediaries is to promote, sell and distribute the company's products to the end users. If these intermediaries are not cooperative or supportive companies won't be able to deliver their value. Marketing intermediaries usually consist of wholesalers, distributors, and retailers that make a relationship between the organization and the customers.

4. The Competitors, Rivals or Inspirers:

Competitors are who aim at what we aim at. In business the presence of one or more competitors can cut down the prices of goods and services, just to gain the larger market share. Competitors are the inspirers as well and due to their inspiration, companies are becoming more efficient and determined in terms of goal setting.

5. Customers:

The most important and beloved actors in microenvironment are our customers. They are the ones who buy goods for their own consumption. All the marketing activities are customer-centric. Customers are the king of business. They are important as companies need them and the success of their business depends on them.

6. Publics:

Public is any group which has an actual or possible interest in the organization to achieve its goals such as financial publics, media publics, government public, local public, general public or internal publics etc. They are actually the stakeholders. They are not direct buyers or suppliers, but they have somehow direct or indirect interest in achieving the objectives. Generally, it is the responsibility of the organization to satisfy the general public. The company must take decisions while taking the point of view of the general public into consideration because they played an important role in decision making. Now we will discuss these publics one by one.

6.1 Financial Publics:

Financial Publics are the organizations who work in financial sectors and influence the company's funding e.g. Banks, investment analysts, stockholders etc. These financial publics affect a company's ability to take loans. The financial experts of the companies will deal with these financial publics and very conscious to build a positive image of the company in front of the customers and other public.

6.2 Media Publics:

We are living in the information age and the custodians of the information are media houses. Media gives mass exposure to the company's activity. It includes Print Media, television, newspaper and Social Media like Facebook, Twitter etc. The role of Media is that much strong that it can make or break the companies. They are considered to be the watchdogs for the companies which protect the public interest against any mismanagement and malpractice. To deal with media houses the public relation department of the organization plays a vital role and always has good media relations. So they would highlight the strengths and hides the faults of the company.

6.3 Government Publics:

Government is the protector of the state's public interest. They provide services too. Their work is to regulate the businesses and carefully watch that while operating the business they should follow the safety standards and rules and regulations.

6.4 Citizen-Action Publics:

There are many organizations (government or non-government) in our society who work for different groups or communities to protect their rights. They mostly work voluntarily. Sometimes these communities will be affected by the marketing activities of the companies. For protecting their rights this organization becomes activated. So to avoid any issue between these organizations and the company, Public relation department of the company intervene and takes care of what these groups are saying regarding the company. The key role of this public relation department is to make efforts to create a friendly relationship with them; otherwise, they will harm the name of the company.

6.5 Local Publics:

Every organization is working in some locality or area. The neighborhood residents are the local publics. Some production plants are running in these localities. These plants sometimes directly or indirectly harm the premises. For example, air pollution or water contamination etc. To compensate for the damage of this locality, organizations offer some incentives like providing the jobs or creating some hospital facilities to the local publics.

6.7 General Publics:

A general customer's perception or opinion portrays the general public. A good brand image or perception is very important for any organization's success. Different marketing activities will be undertaken to create a positive image of the company. This opinion or perception of the general public can be judged by the feedback which they shared through social media or other media. So this opinion of general publics is very important for the image building.

6.8 Internal Publics:

The internal publics are the vital resources of the organization. They are actually the company's own employees, executives, suppliers or stakeholders. If a company wants to increase its goodwill, they should make their internal Publics happy and content. For that, they have to arrange meetings in which they educate and involve their internal publics and inform the employees about the new development of the company.

After concluding microeconomics, we will come to the next environment which is the macro environment.

What is Macro Environment?

Macro environment refers to the broader environment; it has no concern with the immediate environment. The macro environment is the external forces which are not controllable and can affect the processes of all business setups. These forces have an indirect effect on the company's operation and working situation. Macro environment consists of six external forces i.e. demographic, economic, natural, technological, political and cultural.

1. Demographic Environment:

Demographics are the study of population based on factors such as age, race gender, size, density, location, occupation etc." These demographics are very important to learn for the purpose of policy development and economic market research.

Now the question arises why the population is so important? It is important because people needs and wants are the reasons for companies to exist. In simple words, people are the motivating factor for the growth of markets. Therefore, marketers should keep a close eye on demographics. But over time there is a change in demographics in terms of world population, age structure, family sizes etc. This change in demographics both offer opportunities as well as threats for the businesses. Mostly large companies conduct demographic research to decide how to market their product and how to grab the potential customers. This information helps the company to select how much investment is needed for the specific group.

2. Economic Environment:

We have to see the factors that affect consumer purchasing power and spending patterns. We will take an example that, an organization could not start exporting their good to a country until they have examined how much people will be able to spend and what are their purchasing powers. To check the health of the economy and growth rate, we have many economic indicators, which are GDP volume and growth rate, Per capita income, Interest rate, inflation, Import Duty rate etc.

3. Natural Environment:

The natural environment in the Macro Environment is very important as far as the natural resources are concerned. You may do business in whichever place, your business will come across the local environment and you will shape your business according to the environment you are encountered in. The most important changes in the natural environment are the increasing shortage of raw materials especially in terms of non-renewable resources like water, gas, and oil. Moreover, increased pollution is also one of the factors of a natural disaster. Due to the shortage of natural resources, the governments then intervene in these issues and make some environmental sustainable strategies. So being a business person or marketer one should keep a record of the trends in the natural environment.

4. Technological Environment:

It is the most crucial force of the Macro Environment. In the last few decades, there is a drastic development in technology, and we are in favor of advanced technology because we are in favor of convenience and ease. New products and services are imaginable due to new technologies. This new technology has affected every phase of our lives. If we look back like few years before we'll see how we shop, to how we travel to how we linked ourselves. Technology also affected businesses around the world as technological transformation get both opportunities and threats for a business. Every novel technology swaps an older one, so if businesses would not adopt such technological changes these businesses will very quickly be obsoleted and outdated from the market. Thus marketers must keep an eye or watch very carefully about the dynamic changing trend of the technology and try to adapt it as soon as possible. A very relevant example here is the world-renowned Photocopy Company "Xerox" which is obsoleted, because they have not adopted the new technology and today only a few people know the name of that giant company.

5. Political and Legal Environment:

Political factor is one of the external environmental factors which affect the business both positively or negatively. Businesses are strictly influenced and affected by changes in the political environment. That's why before entering a new market in a foreign country; the company must know each and everything about the legal and political environment of the host country. Companies should know how a country's political system affects the economy. They also need to evaluate how stress-free it is for the company to enter and exit, they may also assess the political risk and stability of the country.

6. Cultural Environment:

Cultural factors play a major role in our society. Our lifestyle, values, and attitudes determine culture. "Culture is the integrated sum total of learned behavioral traits that are shared by members of society". Cultural factor is one of the most influencing factors as far as the business decisions are concerned. So for businesses it is very essential to consider cultural barriers while making their business strategies. For example, The McDonald's of Pakistan is much different from the McDonald's in India. This is because McDonald's is capable to adapt its food and business strategies according to each culture. It is also necessary for the businesses to respect the differences between cultures and obeys to the country's policy.

The sum up of all the internal and external environment study is that, all organizations plan according to their environment, the only change is in their attitude and approach. Sometimes this approach is proactive, sometimes it is reactive and sometimes it is active. The old adage that prevention is better than cure is appropriate here. So I think it is better to be proactive rather than reactive or active. In simple words, the proactive approach emphasizes on reducing the problems before they will appear. Our marketers and businessmen should also be smart enough to cope up and adopt the proactive approaches to survive in the environment.

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Theme No.3: Organization and Marketing Strategy

After studying environmental analysis, in the current theme we would discuss about Organization and marketing strategy.

Marketing is all about serving customers profitably. Marketing is surrounded by environment which has actors, factors and forces that affect marketing positively or negatively. Environment remains the same but organization has to deal with its environment. Marketing strategy is basically response of marketing to its environment.

Strategic planning is done at broad level in any organization .Strategic planning is the process of developing and maintaining strategic fit between organizational goals and capabilities and its changing marketing environment. Goals can be to be no.1, to grow etc, capabilities can be some resources or skills that an organizational can have.

As individual is affected by its environmental changes and get dressed according to weather, similarly organizational environment has an effect on the organization and marketing specifically.

Parts of strategic planning are:

- Environment analysis
- Internal analysis
- Vision
- Mission
- Objectives

Environment means what surrounds organization/ market. Environmental analysis is the process of studying actors, factors and forces outside marketing to map challenges and opportunities.

Actors-----e.g supplier, distributors etc

Factors____ public

Forces_____e.g economic, political forces

So all these are outside market and we need to analyze them. There are several tools for environmental analysis.

PESTEL/STEPEL

Political

Economic

Social

Technological

Ecological
Legal

As a result of environmental analysis we can come up with several opportunities and challenges. **Internal analysis** is a process of studying actors, factors and forces inside organization to map strengths and weaknesses. These actors' factors and forces can be resources, technology, machinery, location, brand or any other thing that can give organization as strength vice versa for weaknesses.

There are several tools of internal analysis but for the scope of this course we would study Portfolio Analysis only.

Portfolio means basket of products and services that are offered. Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the organization.

Usually in marketing we follow the trend that which products are our strengths and which are weaknesses.

Result of internal analysis:

- Strengths
- Weaknesses

Once an organization has done its strategic analysis about its external environment and about its internal strengths and weaknesses then it has to be sure about its vision.

Vision gives long term direction, what it wants to be in long term. Forward sports is a Pakistan based manufacturing company that makes soccer balls for international football games, its vision is:

“Translating marketing and business goals into design strategy, novelty and to attain a new product success.”

Millat tractors Vision is:

“Millat to be a global group of companies, recognized for a range of quality products with innovative design capabilities.”

Through vision we get direction, after that, organizations have a mission to achieve its vision.

Mission: Organization's purpose; what it wants to accomplish in the larger environment, and the business organization is in.

Examples: **Forward sports:** “Aiming to work with coherence of renowned global brands, organizations and entrepreneurs”.

Adidas: “to be the best sports company in the world”.

We should always have mission in terms of customers/ customer needs rather than in terms of products. For example we are not selling mobile phone we are selling way of communication. After setting missions we need to set objectives. Objectives are what an organization wishes to achieve precisely. Such as increasing market share, offering new outlets, more customer satisfaction. Objectives/targets and goals are used as same meaning over here. Sometimes in theory Goals are broader objectives and targets are more specific.

As discussed earlier **business portfolio** is the collection of businesses and products that make up the company. For example a company making all household items e.g. hand soap, detergent, tea whitener and everything else. All these items would be its portfolio.

Strategic Business Unit (SBU) is a unit of the company that has separate mission and objectives that can be planned separately from other company businesses.

Some products are so important that you have to have separate mission and objectives. **BCG matrix** is a tool for portfolio analysis. It is done on the scale of relative market share and market growth rate.

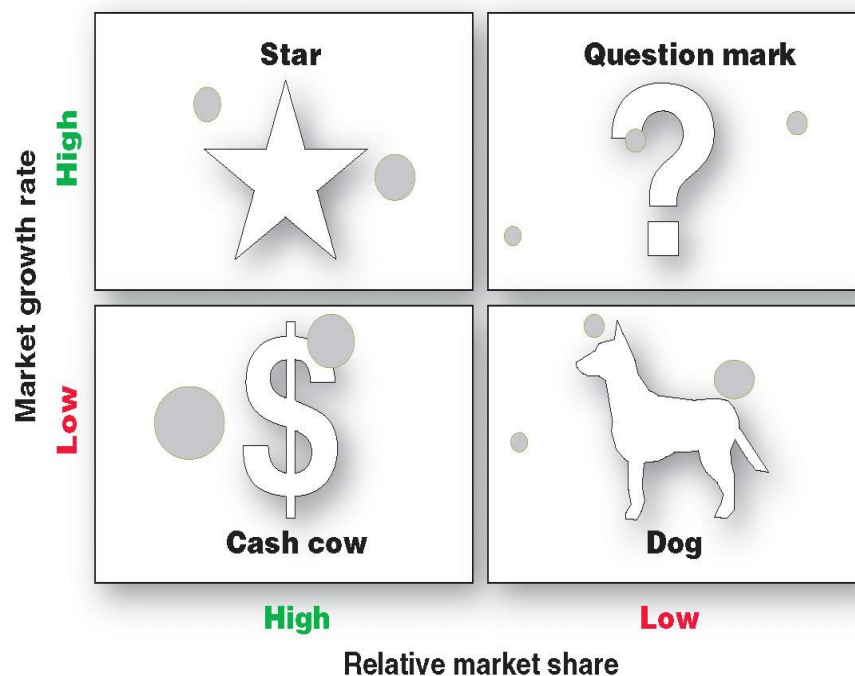
Star: high growth rate and high market share.

Question mark: high growth rate but low market share

Cash cow: Low growth rate but high market share

Dog: low growth rate and low market share.

If portfolio has a balance of all these products it can cope with changing environment.



Source: Kotler, P., & Armstrong, G. (2010). Principles of Marketing, 10th Edition.

Product/ market expansion Grid is a tool for identifying company growth opportunities through market penetration, market development, product development or diversification.

Market penetration: means existing products in existing markets. These products require more promotion.

Product development: new product in existing market. You get more growth with more revenue.

Market development: Existing products in new markets. E.g same product in new geographical area.

Diversification: New product in new market.

	Existing products	New products
Existing markets	Market penetration	Product development
New markets	Market development	Diversification

Source: Kotler, P., & Armstrong, G. (2010). Principles of Marketing, 10th Edition.

What we deliver to customers and what we get in return both are values. Products / services that are offered to customers are the result of any need. **Value chain** is a series of departments that carry out value creating activities to design, produce, market, deliver and support a firm's products. **Value delivery network** is made up of company, suppliers, distributors and ultimately customers who partner with each other to improve performance of the entire system. Suppliers deliver value to company then they deliver to distributor who ultimately deliver to end consumers. Companies not only invest in themselves but they also invest in their suppliers and distributors. If any of these fail to deliver, company will not be able to deliver value to its customers. A single organization cannot fulfil needs of the society and cannot fulfil needs in the same manner market can be divided into different segments.

Market segmentation is the division of market into distinct group of buyers who have distinct needs, characteristics or behavior and who might require separate products or marketing mixes. Segmentation can be done on the basis of gender, location, age etc. People in a similar segment have similar needs and characteristics for which separate products and marketing mix is required. After segmentation is done targeting is done. It is not always possible for companies to target every segment that they have made. **Market targeting** is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Market positioning is the arranging for a product to occupy a clear distinctive and desirable place relative to competing products in the minds of target consumer. For example some tooth pastes are famous for its cavity protection, and some for whitening. This is positioning.

When segmentation, targeting and positioning is done, marketing mix is developed. **Marketing mix** is the set of controllable tactical marketing tools-product, price, place and promotion-that the firm blends to produce the response it wants in the target market.

These are actually 4 Ps of marketing mix. When we talk about products we talk about its quality, design, packaging etc. Price includes listed prices, available discounts, payment methods etc. In promotion we discuss advertising, personal selling, sales promotion and public relations. Place deals with channels, locations, inventory, transportation and logistics related methods.

Customer is the core of marketing activities. In external environment there are marketing intermediaries, competitors, suppliers and publics. Market analysis, planning, implementation and control is done. 4 Ps are developed for the product. As explained earlier, Market is divided into segments and then appropriate segment is targetted and positioned

Whatever is spent on marketing is considered as marketing investment. There is always an asset generation with investment. In marketing that asset is our brand. There is always return on investment so what is return on marketing investment. It is net return from marketing investment divided by costs of marketing investment. Marketing ROI provides a measurement of the profits generated by investment in marketing activities. For example how much increase in sales? For building marketing strategy we need to do SWOT analysis as well.

S Strengths –Strengths are internal capabilities that may help a company reach its objectives

W Weaknesses- Weaknesses are internal limitations that may interfere with a company to achieve its objectives

O Opportunities – external factors that the company may be able to exploit to its advantage

T Threats- Current and emerging external factors that may challenge company's performance